trvxluxe

TRVXLUXE.DE

THE COMPLETE

Forex & Day Trading Course

A practical e-book and workbook. From your first candle to a tested trading plan, in four levels.



01 FOUNDATIONS

02 PRICE ACTION

03 TRADING SYSTEM

04 PRO HABITS

START HERE

How to Use This Course

PURPOSE

This course is an educational guide to the mechanics, analysis, planning and review of retail Forex and day trading. It is designed for beginners progressing toward intermediate-level practice. It does not promise results, provide personalized investment advice, or suggest that any strategy guarantees a profit.

RECOMMENDED WORKFLOW

Read one chapter at a time. Complete the workbook tasks before moving on. Use a demo account for practice. Keep a written journal, review a meaningful sample of trades, and change one variable at a time when testing a method. Do not rush from learning to live trading.

LEARNING OUTCOMES

By the end, you should be able to explain how Forex quotes work, read basic candlesticks, identify trends and ranges, calculate planned risk, place and manage demo orders, describe common price-action concepts, test a rules-based setup, and review your decisions without relying on hindsight.

CORE PRINCIPLE

A trading plan is a hypothesis to test, not a machine that predicts the future. The market can move unpredictably, and even a well-executed trade can lose.

YOUR PATH



LEVEL 1
Foundations
Understand how the market works and how to read a chart.
Weeks 1–2

LEVEL 2
Price Action
See structure and key levels, and learn the Smart Money terms with a skeptical eye.
Weeks 3–4

LEVEL 3
Trading System
Turn ideas into written rules, size every trade by risk and keep your discipline.
Weeks 5–6

LEVEL 4
Pro Habits
Practise on demo, test without hindsight and work the way disciplined traders do.
Weeks 7–8

Please note. This is educational material. It is not a signal service, a promise of results or individual financial advice. Trading involves risk, and you are responsible for your own decisions.

© 2026 trvxluxe.de · All rights reserved. This copy is for your personal use. Please do not share or resell it.

Contents

LEVEL 1 Foundations

01 What Trading Is—and Is Not 05
02 Forex Instruments, Quotes and Costs 06
03 Trading Sessions and Economic Events 08
04 Candlesticks and Price Representation 10

LEVEL 2 Price Action

05 Market Structure: Trends, Ranges and Swings 12
06 Support, Resistance and Key Levels 14
07 Liquidity Concepts and Common SMC Terms 15
08 Fair Value Gaps and Imbalances 17

LEVEL 3 Trading System

09 Building a Repeatable Trading Setup 19
10 Entries, Stops, Targets and Trade Management 20
11 Position Sizing and Risk Mathematics 22
12 Trading Psychology and Discipline 24

LEVEL 4 Pro Habits

13 MetaTrader 5: Demo Practice Workflow 26
14 Backtesting, Forward Testing and Statistics 27
15 Fundamental Analysis and Correlations 29
16 Common Trading Myths and Scams 30

EXTRAS Toolkit

17 A Structured 8-Week Learning Plan 32
18 Printable Checklists and Worksheets 33
19 Glossary 36
20 Final Assessment 38

APPENDIX Reference Tables

A Risk tables and worked calculations 39

trvxluxe

01

LEVEL 1 OF 4

Foundations

Understand how the market works and how to read a chart.

BY THE END YOU SHOULD BE ABLE TO

- Explain how a currency pair is quoted and what the spread costs you.
- Know when the market is active and check the economic calendar before a session.
- Read a candlestick and a timeframe without over-reading them.

CHAPTERS

01 What Trading Is—and Is Not

02 Forex Instruments, Quotes and Costs

03 Trading Sessions and Economic Events

04 Candlesticks and Price Representation

01

LEVEL 1 · FOUNDATIONS

What Trading Is—and Is Not

FOREX BASICS

Foreign exchange (Forex or FX) is the market in which one currency is exchanged for another. A pair such as EUR/USD expresses the value of one euro in US dollars. If EUR/USD is 1.0850, one euro is quoted at 1.0850 US dollars.

DAY TRADING

Day trading means opening and closing positions within the same trading day. Some traders use short intraday charts; others hold positions for several hours. A chart timeframe is a way to group price data, not a guarantee of how long a trade should last.

MARKET PARTICIPANTS

Exchange rates respond to many forces: interest-rate expectations, inflation, employment data, central-bank decisions, political events, risk sentiment, trade flows and order execution. No single chart pattern explains every move.

TRADING VERSUS INVESTING

Investing usually focuses on longer-term ownership or exposure. Day trading focuses on short-term price changes and requires active decisions about entries, exits, costs and risk. Day trading is not an easy or reliable shortcut to income.

RETAIL TRADING RISKS

Leveraged products can magnify gains and losses. Costs, spreads, slippage, gaps, platform failures and emotional decisions can all affect outcomes. Some retail products are complex and may not be suitable for every person.

> **PRACTICE**
>
> Write in your own words: (1) What does EUR/USD represent? (2) What is the difference between day trading and investing? (3) Name three risks that are not visible from a candlestick alone.

02

LEVEL 1 · FOUNDATIONS

Forex Instruments, Quotes and Costs

BASE AND QUOTE CURRENCIES

In EUR/USD, EUR is the base currency and USD is the quote currency. A buy position generally benefits if the pair rises; a sell position generally benefits if it falls, before costs. The exact product and contract specifications depend on the broker.

MAJOR, MINOR AND EXOTIC PAIRS

Major pairs usually involve the US dollar and another widely traded currency, such as EUR/USD or USD/JPY. Crosses such as EUR/GBP do not include USD. Exotic pairs often combine a major currency with a less-traded currency and may have wider spreads and lower liquidity.

PIPS AND PIPETTES

For many non-JPY pairs, one pip is 0.0001. For many JPY pairs, one pip is 0.01. Some platforms display a fractional pip, often called a pipette. Always verify the instrument's quotation and contract specification.

SPREAD

The spread is the difference between the ask price (typically the price to buy) and the bid price (typically the price to sell). A position usually starts with a small cost because these prices differ. Spreads may widen around news, rollover or thin liquidity.

COMMISSION AND SWAP/FINANCING

Some accounts charge commission in addition to spread. Positions held overnight may incur financing or swap charges. Day traders should still understand these costs, particularly if a trade remains open past the broker's rollover time.

SLIPPAGE

Slippage is the difference between the expected execution price and the actual fill price. It can occur in fast markets or when liquidity is limited. A stop order may fill at a worse price than its trigger level during a gap or sharp move.

LEVERAGE AND MARGIN

Leverage allows a trader to control a larger notional position relative to the required margin. It magnifies exposure and can cause losses to accumulate quickly. Margin requirements, close-out rules and negative-balance protections vary by jurisdiction and provider; read the legal documents rather than assuming protection exists.

WORKED EXAMPLE

Suppose EUR/USD shows bid 1.0849 and ask 1.0851. The spread is 0.0002, or 2 pips for a standard 0.0001 pip convention. If you buy, the trade opens at the ask and would ordinarily need price to rise enough to cover spread and any other costs before showing a net profit.

PRACTICE

Look up the specifications for one demo instrument. Record its bid/ask, pip convention, minimum trade size, contract size, margin requirement, commission, financing policy and trading hours. If any field is unclear, do not trade that instrument until you understand it.

03

LEVEL 1 · FOUNDATIONS

Trading Sessions and Economic Events

SESSIONS

Forex activity often changes across the Asian, London and New York sessions. Liquidity and volatility vary by pair and time of day. Overlaps can be active, but higher activity does not automatically mean better opportunities.

TIME ZONES

Session times shift with daylight-saving changes in different regions. Use a reliable economic calendar and your platform's displayed time; do not rely on a memorized clock time without checking the date and location.

ECONOMIC RELEASES

Interest-rate decisions, inflation reports, employment data, central-bank speeches and GDP releases can move currency prices. Actual results matter relative to expectations, and the market's reaction can be counterintuitive.

NEWS RISK

Spreads can widen and orders can slip around announcements. Beginners should consider observing high-impact events rather than opening trades immediately before them. A stop loss limits planned risk but does not guarantee the exact exit price.

PRE-SESSION ROUTINE

Check the calendar, identify relevant higher-timeframe levels, note any scheduled releases, define a maximum risk limit and decide when you will not trade. If you cannot explain the plan clearly, skip the session.

> **PRACTICE**
>
> Choose one currency pair and one trading session. Record the scheduled high-impact events, the time zone shown by your calendar, and what conditions would make you stand aside.

YOUR NOTES

04

LEVEL 1 · FOUNDATIONS

Candlesticks and Price Representation

THE FOUR PRICES

Each candlestick represents an open, high, low and close for its chosen period. A bullish candle closes above its open; a bearish candle closes below its open. Candle color depends on platform settings.

BODY AND WICKS

The body shows the distance between open and close. Wicks show how far price traveled beyond the body during the period. A long wick can indicate rejection or volatility, but it does not prove why price moved or predict the next candle.

TIMEFRAMES

A 5-minute candle summarizes five minutes of data; a 1-hour candle summarizes one hour. Lower timeframes show more detail but also more noise and may increase the temptation to overtrade. Higher timeframes can help provide context.

COMMON CANDLE DESCRIPTIONS

A doji has a small body relative to its range. A pin-bar-style candle has a relatively long wick. Engulfing patterns compare the bodies of neighboring candles. These are descriptive labels, not standalone signals.

CONTEXT MATTERS

The same candle can mean different things depending on where it forms, the broader trend, volatility, nearby levels, the time of day and upcoming news. Avoid treating any single candle pattern as a guaranteed reversal.

> **PRACTICE**
>
> Open a demo chart. Find five bullish candles, five bearish candles and three candles with prominent wicks. For each, write what the candle actually shows and what you cannot conclude from it.

trvxluxe

02

LEVEL 2 OF 4

Price Action

See structure and key levels, and learn the Smart Money terms with a skeptical eye.

BY THE END YOU SHOULD BE ABLE TO

- Label swing highs and lows, trends and ranges on a real chart.
- Mark key levels using only the information available at the time.
- Describe liquidity sweeps and fair value gaps, and say what a chart cannot prove.

CHAPTERS

05 Market Structure: Trends, Ranges and Swings

06 Support, Resistance and Key Levels

07 Liquidity Concepts and Common SMC Terms

08 Fair Value Gaps and Imbalances

05

LEVEL 2 · PRICE ACTION

Market Structure: Trends, Ranges and Swings

SWING HIGHS AND LOWS

A swing high is a local peak relative to nearby price action; a swing low is a local trough. There is no single universal rule for defining swings, so choose a consistent method before testing a strategy.

UPTREND

A common description of an uptrend is a sequence of higher highs (HH) and higher lows (HL). It suggests buyers have been able to push price to higher levels and defend pullbacks at higher areas.

DOWNTREND

A common description of a downtrend is a sequence of lower lows (LL) and lower highs (LH). It suggests sellers have been able to push price lower and rallies fail at progressively lower areas.

RANGE

In a range, price repeatedly trades between an upper and lower area without a clear sequence of higher highs/higher lows or lower lows/lower highs. Ranges can break, and apparent boundaries are not exact walls.

BOS

Break of Structure (BOS) is a term used by some price-action traders when price breaks a relevant prior swing in the direction they consider the prevailing move. Definitions vary, so a course or strategy must specify which swing counts and whether candle close is required.

MSS/CHOCH

Market Structure Shift (MSS) and Change of Character (CHOCH) are labels used by some traders for a break that may suggest a change in short-term behavior. They are not standardized across all traders. A break can fail and should be interpreted with context.

TOP-DOWN ANALYSIS

A common workflow is to review a higher timeframe for broad context, a middle timeframe for structure, and a lower timeframe for a possible entry. The exact timeframe combination should be chosen and tested in advance rather than changed to fit a desired outcome.

WORKED EXAMPLE

Assume a pair makes swing highs at 1.0900 and 1.0950, while pullbacks form lows at 1.0850 and 1.0890. This sequence is consistent with higher highs and higher lows. It does not mean price must continue upward; the next move may fail or form a range.

PRACTICE

Mark 20 swing points on a historical chart. Label each HH, HL, LH or LL where appropriate. If the sequence is unclear, label it 'uncertain' instead of forcing a trend.

06

LEVEL 2 · PRICE ACTION

Support, Resistance and Key Levels

WHAT LEVELS REPRESENT

Support and resistance are areas where price has previously reacted or where traders may pay attention. They are zones, not guaranteed turning points. Price may pass through them, pause, or return later.

HOW TO MARK LEVELS

Use meaningful swing highs/lows, prior session highs/lows, range boundaries and clearly visible areas of repeated reaction. Keep the chart uncluttered. If every small fluctuation becomes a level, the analysis stops being useful.

ROLE REVERSAL

After a decisive break, a former resistance area may act as support, or former support may act as resistance. This behavior is possible, not certain; a retest can fail.

AVOID HINDSIGHT

When reviewing charts, mark levels using only information that would have been available at the time. Do not move a line after seeing the outcome and then claim it predicted the move.

> **PRACTICE**
>
> On a historical chart, mark no more than three important areas before looking at what happened next. Record why each area was selected and whether your rule was objective.

07

LEVEL 2 · PRICE ACTION

Liquidity Concepts and Common SMC Terms

WHAT 'LIQUIDITY' MEANS HERE

In market microstructure, liquidity relates to the ability to trade without causing large price changes. In retail price-action and Smart Money Concepts (SMC) communities, 'liquidity' is also used to describe areas where stop orders or other orders may cluster. These are related but not identical meanings.

EQUAL HIGHS AND LOWS

Repeated highs or lows may attract attention because traders may place breakout orders or stops nearby. The actual orders are not visible on a standard retail chart, so a trader is inferring possible order concentration rather than observing it directly.

LIQUIDITY SWEEP

A sweep is commonly described as price moving beyond a visible high or low and then returning back through the level. It may reflect a failed breakout, a liquidity event or ordinary volatility. The chart alone rarely proves the exact cause.

INTERNAL AND EXTERNAL LIQUIDITY

Some SMC methods call nearby swing points internal liquidity and larger range extremes external liquidity. These labels depend on the chosen range and are not universal market definitions.

ORDER BLOCKS

An order block is commonly described in SMC education as a candle or small area before a strong move. Different educators define it differently. A chart cannot reveal with certainty that a specific institution placed orders there, so treat the zone as a hypothesis to test.

PREMIUM AND DISCOUNT

Some traders divide a chosen range at its midpoint. The upper half is called premium and the lower half discount. These labels only have meaning relative to the range chosen; they do not independently establish fair value or direction.

AVOID STORYTELLING

Do not assume every wick is a stop hunt, every large candle is institutional activity, or every zone must be revisited. Write a rule that can be tested on historical data, including failed examples.

> **PRACTICE**
>
> Find ten apparent sweeps on historical charts. Record the exact rule you used to identify each, the context, what happened next and whether you could have known the outcome at the time.

YOUR NOTES

08

LEVEL 2 · PRICE ACTION

Fair Value Gaps and Imbalances

BASIC THREE-CANDLE DEFINITION

A common bullish FVG is identified when the high of candle one is below the low of candle three, leaving a price interval not overlapped by those wicks. A bearish FVG is the inverse: the low of candle one is above the high of candle three. The middle candle is often a strong displacement candle.

WHY TRADERS WATCH THEM

Some traders interpret an FVG as a sign of fast movement and watch for price to revisit part of the interval. This is a hypothesis, not a law of price behavior. Price may return, partially fill, fully fill or never revisit the zone.

DEFINE THE SETUP PRECISELY

A testable FVG strategy must specify timeframe, how the three candles are selected, minimum gap size, market context, entry trigger, stop placement, target, invalidation and filters. Without those rules, two people can label different zones on the same chart.

COMMON MISTAKES

Do not mark every tiny gap as meaningful. Do not enter simply because price touches a zone. Avoid redrawing the zone after seeing the outcome. Include spread, slippage and losing trades in testing.

> **PRACTICE**
>
> Mark ten bullish and ten bearish examples. Note whether each was followed by a revisit and how you define a revisit. Count misses and failures, not just attractive examples.

trvxluxe

03

LEVEL 3 OF 4

Trading System

Turn ideas into written rules, size every trade by risk and keep your discipline.

BY THE END YOU SHOULD BE ABLE TO

- Write a complete setup that another person could apply the same way.
- Calculate position size from your stop distance, not the other way round.
- Follow a daily risk limit, a pre-trade checklist and a review routine.

CHAPTERS

09 Building a Repeatable Trading Setup

10 Entries, Stops, Targets and Trade Management

11 Position Sizing and Risk Mathematics

12 Trading Psychology and Discipline

09

LEVEL 3 · TRADING SYSTEM

Building a Repeatable Trading Setup

A SETUP IS A COMPLETE RULE SET

A strategy is more than a pattern. It should define the instrument, session, market conditions, setup criteria, entry trigger, stop loss, target, position sizing, maximum trades, news filter and conditions for not trading.

EXAMPLE FRAMEWORK FOR STUDY—NOT A RECOMMENDATION

Instrument: EUR/USD demo. Context: identify a clear higher-timeframe trend or a pre-defined range. Level: mark a recent swing or prior-session level before the session. Trigger: wait for a defined close back across the level and a lower-timeframe confirmation. Risk: calculate a fixed small demo risk. Exit: use a pre-defined target or invalidation rule. Record every qualifying signal, including skipped and losing trades.

NO DISCRETIONARY LOOPHOLES

Rules such as 'the chart looks strong' are difficult to test. Replace them with observable criteria: a candle close beyond a specified swing, a minimum distance, a fixed time window or a stated confirmation condition.

ONE STRATEGY AT A TIME

Changing indicators, timeframes, stops and entry rules simultaneously makes it impossible to identify what helped. Keep a version number and document each change.

WHEN NOT TO TRADE

Examples include unclear structure, unusually wide spreads, high-impact news within your defined no-trade window, platform problems, reaching your daily risk limit, or feeling angry, rushed or exhausted.

PRACTICE

Write a one-page strategy sheet with every rule. Ask another person to apply the rules to a chart without asking you what you meant. If their decisions differ materially from yours, clarify the rules.

10

LEVEL 3 · TRADING SYSTEM

Entries, Stops, Targets and Trade Management

ENTRY TYPES

A market order seeks execution at the available price. A limit order seeks execution at a specified price or better, but may not fill. A stop order activates when a trigger is reached and may fill at a different price in fast markets. Exact order behavior depends on the broker and product.

STOP-LOSS PLACEMENT

A stop should be placed at a level that invalidates the trade idea, with position size adjusted to the distance. Placing a stop arbitrarily close to reduce the amount at risk can lead to ordinary market noise stopping the trade. No placement eliminates risk.

TAKE-PROFIT METHODS

Targets may be based on a predefined risk multiple, a chart level, a time exit or a tested trailing rule. Choose the method before entry and apply it consistently in the test. Do not select targets only because they make a screenshot look impressive.

RISK-TO-REWARD

If planned loss is $10 and planned gross profit is $20, the planned risk-to-reward ratio is 1:2. Actual outcomes can differ due to execution, costs and gaps. A high ratio does not guarantee profitability.

TRADE MANAGEMENT

Decide in advance whether you will move a stop, take partial profits or exit by time. Unplanned adjustments often turn a testable method into an emotional decision. Record any deviation as a rule violation.

WORKED EXAMPLE

A demo trade has a planned stop distance that would create a $8 loss at the selected size, and a target intended to produce $16 before costs. The plan is 1:2 gross risk-to-reward. If spread and commission apply, net reward will be lower; a gap or slippage can make the loss larger than planned.

PRACTICE

Write three reasons a trade idea could be invalidated. Then state the exact exit rule for each reason. If you cannot define invalidation, do not enter the practice trade.

11

LEVEL 3 · TRADING SYSTEM

Position Sizing and Risk Mathematics

THE SEQUENCE

First choose the maximum amount you are prepared to lose on a trade. Then define the stop distance. Finally calculate a position size that fits the risk. Do not choose a large position first and then move the stop to make the numbers look acceptable.

PERCENTAGE EXAMPLE

For a hypothetical $2,000 account, 0.5% equals $10 and 1% equals $20. These are arithmetic examples, not advice about what any individual should risk. Even a small percentage can accumulate into a meaningful drawdown after a losing streak.

GENERIC CALCULATION

Risk amount = account equity × chosen risk percentage. Position size then depends on stop distance, pip value, contract specification and account currency. Use your broker's verified specifications or a reliable calculator and check the result independently.

PIP VALUE WARNING

Pip value varies with pair, trade size and account currency. Do not assume that one pip is worth the same amount on every instrument. Gold, indices and CFDs may use different point and contract conventions.

DRAWDOWN

A drawdown is a decline from a previous account peak. Losses compound asymmetrically: after a 20% loss, a 25% gain is needed to return to the starting value. Large drawdowns make recovery harder.

RISK LIMITS

A written plan can define a maximum planned loss per trade, daily stop, weekly review threshold and maximum number of trades. Stop trading when the limit is reached; do not increase risk to recover losses.

PRACTICE

For a fictional account, calculate 0.25%, 0.5% and 1% of the balance. Then calculate the remaining balance after five consecutive losses at each fixed percentage of current equity. Reflect on how loss size affects decision-making.

YOUR NOTES

12

LEVEL 3 · TRADING SYSTEM

Trading Psychology and Discipline

EMOTIONS ARE INFORMATION, NOT INSTRUCTIONS

Fear, excitement, frustration and overconfidence can influence execution. The goal is not to eliminate emotion but to build a process that reduces impulsive decisions.

FOMO

Fear of missing out often causes late entries after much of a move has occurred. If the setup is gone, let it go. A missed trade is not a loss.

REVENGE TRADING

Trying to win back a loss quickly often leads to larger size, lower-quality entries and broken rules. After a loss, follow your planned pause and review routine.

OVERCONFIDENCE

A short winning streak can be random. Do not increase size until your written review process, sample size and risk controls justify any change—and even then, changes should be cautious.

PROCESS GOALS

Useful goals include following the entry checklist, respecting the daily limit, recording every trade and completing weekly reviews. 'Make $X today' is not fully under your control and can encourage bad decisions.

WELL-BEING

Do not trade while sleep-deprived, distressed, distracted or under pressure to make money. If trading is affecting sleep, school, work, relationships or financial security, step away and seek support.

> **PRACTICE**
>
> Before a session, rate your focus from 1–5. Define a condition that means you will not trade. After the session, record whether you followed it.

trvxluxe

04

LEVEL 4 OF 4

Pro Habits

Practise on demo, test without hindsight and work the way disciplined traders do.

BY THE END YOU SHOULD BE ABLE TO

- Place and manage orders on a demo account with every field checked.
- Backtest and forward-test your rules, and read win rate, expectancy and drawdown.
- Spot common myths, fake results and scams before they cost you money.

CHAPTERS

13 MetaTrader 5: Demo Practice Workflow

14 Backtesting, Forward Testing and Statistics

15 Fundamental Analysis and Correlations

16 Common Trading Myths and Scams

13

LEVEL 4 · PRO HABITS

MetaTrader 5: Demo Practice Workflow

START SAFELY

Install MT5 from an official source and connect only to a provider you have independently checked. Verify the legal entity, regulator, fees, product type and local eligibility requirements. A platform being available does not mean a provider is trustworthy or suitable.

DEMO ACCOUNT

Use a demo account to learn the interface and test rules. Demo execution may not fully reproduce live liquidity, slippage, spreads or the emotional impact of real losses.

CHART SETUP

Open one instrument, choose a consistent timeframe, show enough historical data, and mark only the levels your strategy requires. Avoid cluttering the chart with indicators you do not understand.

ORDER WORKFLOW

Before sending an order, verify instrument, buy/sell direction, volume, stop loss, take profit and estimated risk. Confirm the ticket details before placing the order. After execution, verify the position and attached exit orders.

HISTORY AND EXPORTS

Review order history and account statements. Keep screenshots and journal records. Make sure the recorded price, size, costs and outcome match the platform history.

OPERATIONAL RISK

Use strong account security, do not share passwords, and beware of fake support messages, remote-access requests and guaranteed-profit claims. Never give a stranger control of your trading account.

> **PRACTICE**
>
> On demo only, place a small practice order, attach a stop and target, then close or manage it according to your plan. Record what each button and order field does before increasing complexity.

14

LEVEL 4 · PRO HABITS

Backtesting, Forward Testing and Statistics

BACKTESTING

Backtesting means applying written rules to historical market data. It can reveal how a strategy behaved in the selected sample, but it cannot guarantee future performance.

AVOID LOOK-AHEAD BIAS

Only use information available at the moment the hypothetical trade would have occurred. Do not move entry or stop levels after observing future candles. Include signals that failed and trades you would have skipped under the rules.

SAMPLE AND CONDITIONS

Test different market conditions and, where practical, more than one period. A strategy can perform differently in trends, ranges, high volatility and quiet periods. Do not select only the period that makes the strategy look best.

FORWARD TESTING

After backtesting, practise the same rules in a demo account as new prices arrive. This tests whether you can execute the method in real time and whether the historical assumptions hold up under current conditions.

KEY METRICS

Win rate = winning trades divided by total trades. Average win and average loss should be measured after costs where possible. Expectancy can be estimated as (win rate × average win) − (loss rate × average loss), using consistent units and including costs. Maximum drawdown measures the largest peak-to-trough decline in the tested equity curve.

EXAMPLE EXPECTANCY

Suppose a hypothetical system wins 40% of trades with an average gain of 2R and loses 60% with an average loss of 1R. Before costs, expectancy is (0.40 × 2R) − (0.60 × 1R) = +0.20R per trade. This is only an arithmetic illustration; actual results can be lower after costs and may change outside the sample.

OVERFITTING

If rules are repeatedly tuned until they perfectly match past data, they may be fitting noise. Prefer a simple, explainable method and reserve data for out-of-sample evaluation.

PRACTICE

Record at least 50 historical examples before drawing early conclusions; 100 or more may provide a more informative picture, though no sample size guarantees statistical reliability. Report the rules, sample dates, costs assumptions, win rate, average win/loss, expectancy and drawdown.

15

LEVEL 4 · PRO HABITS

Fundamental Analysis and Correlations

ECONOMIC CONTEXT

Currencies can respond to relative interest-rate expectations, inflation, employment, growth and central-bank communication. The market often reacts to the difference between expectations and actual data, not simply whether a headline sounds good or bad.

CORRELATION

Two instruments may move together or in opposite directions for a period, but relationships change. Holding several highly correlated positions can concentrate risk even if the trade tickets look different.

DOLLAR INFLUENCE

USD-related pairs may react to US data and Federal Reserve expectations, but each pair also reflects the other currency and broader risk conditions. Avoid assuming one economic release explains every move.

USE OF FUNDAMENTALS

A beginner can use an economic calendar as a risk filter without trying to forecast every announcement. Record which events matter for the chosen instrument and avoid impulsive trading immediately around releases.

> **PRACTICE**
>
> Pick one scheduled release and write down the consensus expectation, the actual result after publication, the initial price reaction and the subsequent move. Do not assume the first move reveals the full explanation.

YOUR NOTES

16

LEVEL 4 · PRO HABITS

Common Trading Myths and Scams

NO GUARANTEED STRATEGY

No indicator, mentor, signal group, bot or trading method can guarantee profits. Be skeptical of screenshots without independently verifiable statements and of claims that losses are impossible.

SIGNAL DEPENDENCE

Copying entries without understanding risk, sizing, exits and the provider's incentives can expose a trader to losses. Past results may be cherry-picked, simulated or not representative.

BOTS AND AUTOMATION

Automated strategies can fail due to market changes, technical issues, bad data, execution costs or overfitting. Test thoroughly and understand how the system can lose before considering real-money use.

BROKER CHECKS

Verify the firm's legal name and regulatory status through the relevant regulator's official register. Be wary of unsolicited messages, pressure to deposit, requests to pay extra fees to withdraw, and anyone asking for remote access or account credentials.

PRACTICE

Review a trading advertisement. Highlight claims about returns, risk, testimonials, regulation and urgency. List what evidence would be needed to verify each claim.

trvxluxe



EXTRAS

Toolkit

Your plan, your worksheets, a glossary and the final test.

CHAPTERS

17 A Structured 8-Week Learning Plan

18 Printable Checklists and Worksheets

19 Glossary

20 Final Assessment

17

TOOLKIT

A Structured 8-Week Learning Plan

WEEKS 1–2: FOUNDATIONS

Learn quotes, pips, spreads, sessions, candles and market structure. Use screenshots and definitions. Do not focus on profits.

WEEKS 3–4: PRICE ACTION

Study support/resistance, liquidity terminology, FVG definitions and the limitations of these concepts. Label charts without entering trades.

WEEK 5: RISK AND ORDER MECHANICS

Practise stop placement, position sizing, order types, costs and drawdown calculations on paper and in demo.

WEEK 6: STRATEGY SPECIFICATION

Write one complete strategy. Define entry, exit, filters and no-trade conditions. Make the rules specific enough for another person to follow.

WEEK 7: TESTING

Backtest the rules without hindsight. Record every qualifying setup, including failures. Include realistic costs where data permits.

WEEK 8: FORWARD PRACTICE AND REVIEW

Use demo trading to practise execution. Review adherence, results and mistakes. If the method is unclear or poorly executed, return to study rather than increasing risk.

READINESS STANDARD

Completion of eight weeks is not proof that someone is ready for live trading. Continue demo practice until you can follow your rules consistently and understand the financial risks. Some learners may need much longer.

18

TOOLKIT

Printable Checklists and Worksheets

PRE-TRADE CHECKLIST

- [ ] I am calm, rested and focused.
- [ ] I checked the economic calendar.
- [ ] The instrument and session meet my written rules.
- [ ] The market condition is defined.
- [ ] My setup is present without forcing it.
- [ ] Entry, invalidation, stop and target are clear.
- [ ] Position size matches planned risk.
- [ ] Costs and possible slippage are considered.
- [ ] I have not reached my daily limit.
- [ ] I am willing to accept the planned loss.

POST-TRADE REVIEW

- [ ] I saved a screenshot.
- [ ] I recorded entry, exit, size and costs.
- [ ] I followed the plan.
- [ ] Any deviation is documented.
- [ ] I separated process quality from profit/loss.
- [ ] I noted one lesson without changing the strategy impulsively.

STRATEGY WORKSHEET

Instrument

Session/time zone

Context/timeframe

Setup definition

Entry trigger

Stop/invalidation

Exit/target rule

Risk calculation method

News filter

No-trade conditions

Testing sample

Costs included

Version/date

TRADE JOURNAL TEMPLATE

Date/time | Instrument | Session | Market condition | Setup | Entry | Stop | Target | Position size | Planned risk | Result after costs | Rule followed? | Screenshot reference | Emotion before/after | Lesson.

WEEKLY REVIEW

Total trades

Rule-following rate %

Net result in R

Average win

Average loss

Largest drawdown

Most common mistake

Best process decision

One change to test—not automatically adopt

YOUR NOTES

19

TOOLKIT

Glossary

Ask / Bid
Ask is generally the price available to buy; bid is generally the price available to sell.

Base / Quote currency
The first and second currencies in a pair, respectively.

BOS
Break of Structure; a price-action label for a break of a relevant swing, with definitions varying by method.

CFD
Contract for Difference; a derivative whose value reflects the change in an underlying reference price. It does not necessarily confer ownership of the underlying asset.

Drawdown
Decline from a previous equity peak.

Expectancy
Average expected result per trade under stated assumptions, commonly calculated from win/loss rates and average outcomes.

FVG
Fair Value Gap; a three-candle price interval defined by a specific wick relationship in some price-action methods.

Leverage
Exposure relative to the capital or margin required.

Liquidity
In market microstructure, the ability to trade with limited price impact; in some retail trading terminology, a hypothesized area of clustered orders.

Lot
A unit of trade size; contract specifications vary by instrument and provider.

MSS / CHOCH
Market Structure Shift / Change of Character; non-standardized labels for a possible change in price behavior.

Pip
A conventional unit of price movement, often 0.0001 for many non-JPY pairs and 0.01 for many JPY pairs.

R-multiple
Trade result expressed as a multiple of the initial planned risk; +2R means a gain twice the planned risk, before any adjustment for costs if not otherwise specified.

Slippage
Difference between expected and actual execution price.

Spread
Difference between bid and ask.

Stop loss
An order intended to exit when a defined price trigger is reached; exact execution price is not guaranteed in fast markets.

Swap / financing
A financing adjustment that may apply to positions held past a provider’s daily cutoff.

Win rate
Percentage of trades that close as winners under the chosen definition.

20

TOOLKIT

Final Assessment

KNOWLEDGE QUESTIONS

1	Explain bid, ask and spread.
2	What does leverage change—and what does it not change?
3	Describe HH/HL and LH/LL.
4	Why is a liquidity sweep not proof of institutional activity?
5	Define a bullish FVG using the three-candle relationship.
6	Why should position size be calculated after stop distance?
7	What is slippage?
8	Explain expectancy in your own words.
9	Give two examples of look-ahead bias.
10	Name three reasons not to trade.

PRACTICAL ASSIGNMENT

Choose one instrument and write a complete strategy sheet. Backtest a defined sample, record all signals, calculate basic metrics, include cost assumptions and discuss limitations. Then forward-test in demo and compare execution with the written rules.

EVALUATION RUBRIC

A strong submission has clear and repeatable rules, risk calculations that can be checked, a complete record of wins and losses, no hindsight editing, realistic discussion of costs and drawdown, and an honest conclusion about uncertainty. A profitable-looking result without transparent rules and records is not enough.

A

APPENDIX

Risk Tables and Worked Calculations

These tables are pure arithmetic. They show why risk control matters and are not a recommendation for how much any person should risk.

WHY DRAWDOWNS HURT MORE THAN THEY LOOK

The bigger the loss, the larger the gain you need just to get back to even.

LOSS FROM THE PEAK	GAIN NEEDED TO RECOVER
−5%	+5.3%
−10%	+11.1%
−20%	+25.0%
−30%	+42.9%
−40%	+66.7%
−50%	+100.0%

LOSING STREAKS AT A FIXED RISK PER TRADE

Start with a $2,000 account and risk a fixed percentage of the *current* balance on every trade. The table shows the balance after a losing streak (before costs).

RISK PER TRADE	FIRST LOSS	AFTER 5 LOSSES	AFTER 10 LOSSES
0.25%	$5.00	$1,975.12	$1,950.56
0.5%	$10.00	$1,950.50	$1,902.22
1%	$20.00	$1,901.98	$1,808.76
2%	$40.00	$1,807.84	$1,634.15

WIN RATE YOU NEED TO BREAK EVEN

Before costs, the break-even win rate is 1 ÷ (1 + reward-to-risk). Spread, commission and slippage push the real number higher.

RISK : REWARD	BREAK-EVEN WIN RATE
1 : 1	50.0%
1 : 1.5	40.0%
1 : 2	33.3%
1 : 3	25.0%

WORKED EXAMPLE · POSITION SIZE

Account $2,000. Risk 1% = **$20**. Stop distance 20 pips. On EUR/USD with a USD account, one pip is worth about $10 per standard lot.

Risk per 1.00 lot = 20 pips × $10 = $200. Position size = $20 ÷ $200 = **0.10 lot**.

Pip values and contract sizes differ by broker and instrument. Always check them yourself before you trade.

PLEASE READ

Important Risk Disclaimer

— EDUCATIONAL USE ONLY

This material is for general education and informational purposes. It is not investment, legal, tax or financial advice, and it is not a recommendation to buy or sell any instrument. It does not consider any reader's objectives, financial circumstances or risk tolerance.

— RISK OF LOSS

Forex, CFDs and leveraged trading are high-risk activities. Losses can be substantial and, depending on the product and legal protections, may exceed the amount initially expected. Stop losses do not guarantee execution at the requested price. Spreads, commissions, financing, slippage and market gaps affect results.

— NO GUARANTEES

Examples are hypothetical and provided to explain concepts. They do not represent actual client results or predict future performance. No method can guarantee profit or eliminate risk. Backtested or demo results may not reflect live trading.

— INDEPENDENT VERIFICATION

Readers should independently verify product specifications, broker authorization, applicable laws and tax obligations in their jurisdiction. They should seek independent professional advice where appropriate and should never trade money they cannot afford to lose.

trvxluxe

THANK YOU

Keep going.
One step at a time.

Finish a level, do the exercises and review your work before you move on. Consistency beats speed.

trvxluxe.de · trvluxe56@gmail.com